Repeat purchases are the growth engine Olist doesn't have yet

Revenue has been flat since January 2018, and almost every order comes from a new customer.

2.2%

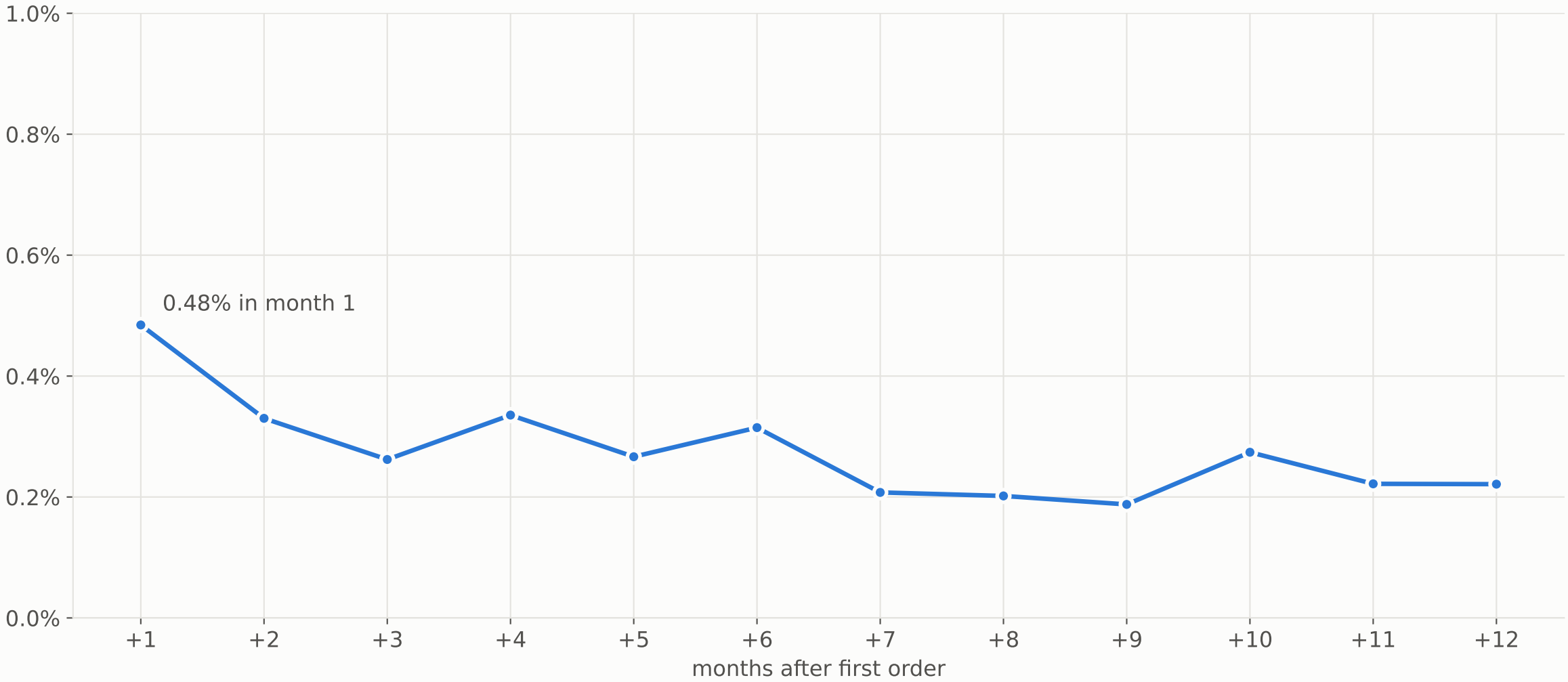
of customers come back on a later day (2,065 of 94,990)

A late first delivery cuts the chance of returning by a third.

A tested first-month win-back program could add R$55k to R$110k a year in sales.

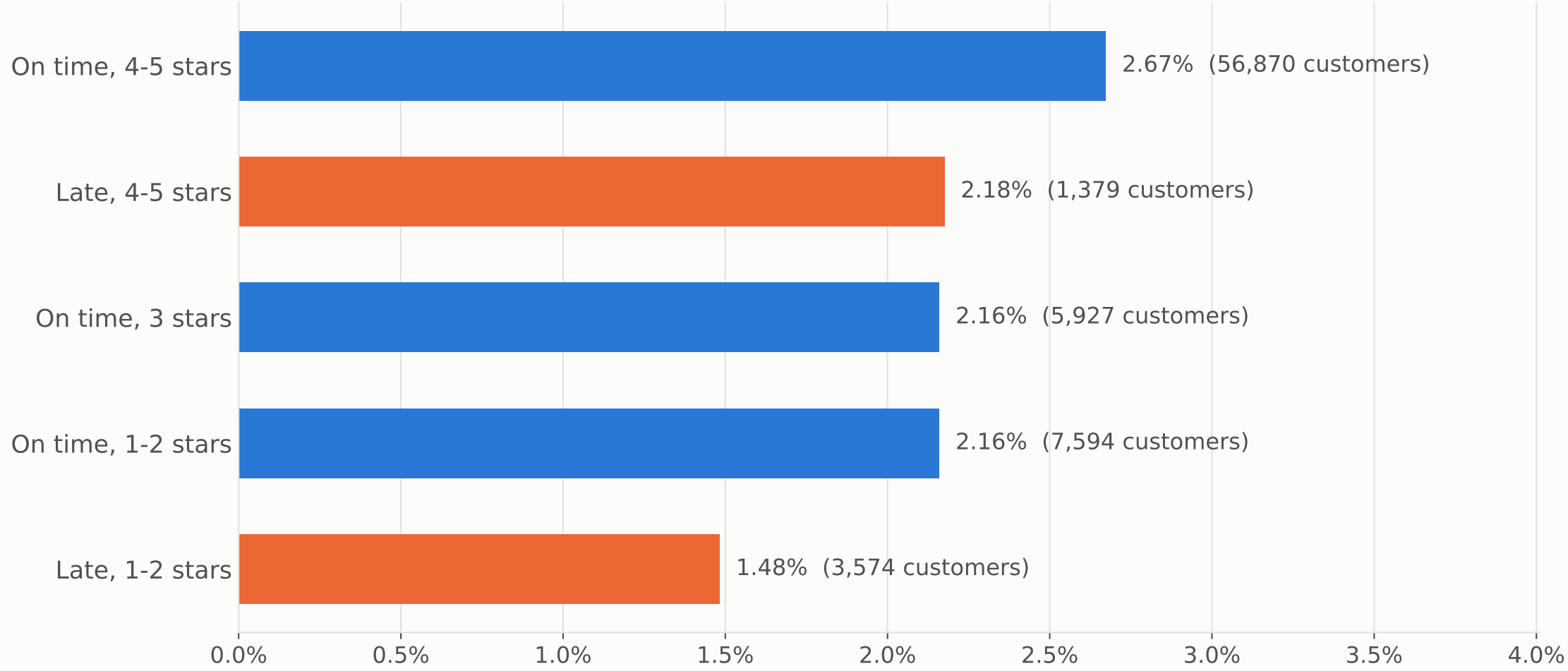
Only 2.2% of customers ever come back

Average share of a monthly cohort ordering again N months after their first order (2017 cohorts)



A late first delivery cuts the chance of returning by a third

Return rate by first-order experience: late 1.74% vs on time 2.57% (gap 0.83 pp, 95% CI 0.47 to 1.19)



First orders Jan 2017 to May 2018, so every customer had 3+ months to return. Segments with 1,000+ customers.

A first-month win-back is worth more than any delivery fix

Estimated extra sales per year (GMV, item price + freight)

1. Win-back offer within 30 days of the first delivery — R$55k to R$110k

65,673 new customers a year; return rate 2.5% to 3.0-3.5%

2. Pilot it in high-return categories first — proves #1 cheaply

bed_bath_table, furniture_decor, sports, pet, fashion bags: 14,900 a year, return at 3.1-4.3%

3. Realistic delivery promises in the North/Northeast — R$4k to R$7k

5,250 late first orders a year; main payoff is fewer 1-2 star reviews

Value of a returning customer: R$167 of later orders. Assumptions and ranges in docs/capstone-memo.md.

Next step: prove the win-back with an A/B test before scaling

The free-shipping test showed an offer can lift conversion and still lose money.

Test design

- Randomize new customers by hashed customer ID; primary metric: return within 90 days
- +1 pp from a 2.5% base needs about 4,500 customers per group: under 2 months of new customers
- Fix the sample size up front; no peeking (daily peeking gave a 24% false positive rate)
- Count the voucher cost against commission, not against sales

Risks

- Late first orders also differ by state, seller and category; the gap may not all be lateness

Data needed

- Marketing spend by channel, website sessions, customer contact consent